

Final Report Guideline

DDA3600 - Factor Investing

Fall 2025

Objective

The final report focuses on the implementation of your idea, detailing the methods you have employed, the results of your empirical analysis, and the conclusions you have drawn. Your final report will showcase how you have used the knowledge and tools gained throughout the course to address the problem you set out to solve.

Required Sections of the Final Report

Make sure your final report contains the following sections.

1. Abstract (5%)

The abstract should provide a brief summary of your research objectives, methods, key findings, and implications. Keep it concise and focus on summarizing the most important aspects of your research in no more than 200–300 words.

2. Introduction (10%)

- Provide a concise recap of the problem you are addressing.
- Summarize the objective of your project and its significance, especially in the context of the Chinese stock market.
- **Briefly summarize the key empirical findings from your work.**
- Outline the structure of your report.

3. Literature Review (5%)

Provide a concise yet comprehensive summary of the key studies that are most relevant to your research.

4. Methodology (30%)

- Provide a detailed description of the models and/or methods you have applied. Explain how you selected the methodologies based on the problem and the available data.
- Be specific about any econometric models, machine learning techniques, or financial theories you have implemented.
- Discuss how you have handled data preprocessing (e.g., handling missing values, normalizing features), and why these steps are important for your analysis.
- If applicable, justify your choice of loss function, model parameters, and any tuning processes.

5. Empirical Results (30%)

- Present the results of your analysis in a clear and structured way. Include tables, charts, and any statistical tests you conducted.
- Discuss the findings, including whether they support or refute your hypotheses.
- Make sure to critically analyze your results, considering limitations, assumptions, and robustness of the findings.
- Include a discussion of any challenges encountered during the empirical analysis and how they were addressed.

6. Discussion and Conclusions (15%)

- Discuss the implications of your findings in the context of the Chinese stock market. What does your analysis reveal about factor investing or the specific factors you analyzed?
- Reflect on the practical applications of your results. How could your findings help improve factor-based investment strategies in reality?

7. References (5%)

Include a comprehensive list of references in proper citation format. Ensure that all references used in the project are from high-quality, peer-reviewed journals or books.

Length Requirement

The overall final report (excluding the abstract) should be **3,000–3,500 words**. Brevity is appreciated where possible, but do not sacrifice clarity or detail.

Deliverables

- **Final Report:** A document containing all the sections described above.
- **Code Submission:** The final code. Ensure it is well-documented and functional.
- **Additional Materials:** Any supplementary files, such as data sources other than those provided to you. Please make arrangements with TA to submit the files if they cannot be uploaded to BB.

Submission Deadline

All deliverables must be submitted by **December 15 2025, 23:59:59**. No late submissions are allowed.

Plagiarism Policy

We maintain a **0-tolerance policy for plagiarism** in this course. Do not copy work from the internet, research papers, or other sources. Write in your own words, type your own formulas, and share only the code you wrote yourself. Any instance of plagiarism will result in a **grade of 0 for this report**, with no exceptions, resubmissions, or appeals.

Grading Rubric for Phase 3

Section	Points	Criteria
Abstract	5	• (5 Points) Clear and concise summary of objectives, methods, key findings, and implications (200–300 words). Covers all key aspects effectively.
		• (3–4 Points) Summary is mostly clear with minor details missing. Well-organized but lacks some key findings or implications.
		• (0–2 Points) Lacks clarity or key components, or exceeds the word limit significantly.
Introduction	10	• (8–10 Points) Provides a clear recap of the problem, well-articulated objective, significance in the Chinese stock market, and includes key empirical findings. Well-organized structure.
		• (4–7 Points) Good recap of the problem and objective. Significance in the Chinese market is clear. Empirical findings are summarized but lack depth or clarity.
		• (0–3 Points) Missing or weak description of key components (problem, objective, findings, or structure).
Literature Review	5	• (5 Points) Comprehensive and concise review of the key studies relevant to the research.
		• (3–4 Points) Good review of relevant studies, but lacks depth.
		• (0–2 Points) Weak review, poorly connected to the research topic.
Methodology	30	• (21–30 Points) Detailed explanation of models, methods, and data handling. Justified choices of models, loss functions, and parameters (whenever applicable) with clear connections to the research problem.
		• (11–20 Points) Clear explanation of methods, but with minor gaps in justification or details.
		• (0–10 Points) Some methods or choices are not explained well, with limited justification or clarity.
Empirical Results	30	• (21–30 Points) Clear presentation of results (tables, charts), thorough discussion, including statistical tests. Critical analysis with consideration of limitations and robustness.
		• (11–20 Points) Results presented but lacks some clarity or depth. Some discussion on limitations and robustness, but not comprehensive.
		• (0–10 Points) Presentation of results is unclear or incomplete. Limited or no discussion on limitations or robustness.

Section	Points	Criteria
Discussion and Conclusions	15	• (11–15 Points) In-depth discussion of implications for the Chinese stock market and practical applications of findings. Clear and logical conclusions.
		• (6–10 Points) Solid discussion of implications and applications, but lacks some depth or clarity in conclusions.
		• (0–5 Points) Limited or unclear discussion on implications. Conclusions lack depth.
References	5	• (5 Points) Complete, correctly formatted references. All sources from high-quality, peer-reviewed journals or books.
		• (3–4 Points) Few formatting or citation errors. Mostly reliable sources.
		• (0–2 Points) Significant errors in citations or sources are not from peer-reviewed journals/books.